AUTOMOBILES

In Low Gear

With negligible car exports to the US, American tariffs are unlikely to directly impact India. However, these tariffs could lead to a global slowdown in demand, which could potentially jeopardise India's export ambitions. While India has reduced import duties on luxury bikes, it remains unclear whether this move will encourage firms like Harley-Davidson to re-open shop here.

THE IMPACT

Since the passenger vehicle (PV) exports to the US represent less than 1 per cent of the total PV exports, the higher tariffs by the US do not have any material impact on Indian carmakers, according to rating firm ICRA. "We don't expect any significant impact on the Indian automobile industry since there are limited exports to the US, but we will continue to monitor the situation," says Rajesh Menon, director general, Society of Indian Automobile Manufacturers. Analysts say the tariffs will hit the global demand for cars, and it can negatively impact Indian car exporters next year. ■

SIZE OF TRADE

India sends a small volume of passenger vehicles to the US, with no vehicle imports recorded from America in return

India's passenger vehicles exports to the US	India's imports from the US
$8.9 mn	NIL

Data for 2024; Source: Global Trade Research Initiative

TARIFF WAR

US TARIFFS	EARLIER	NOW
Cars	2.5%	25%
Trucks	25%	25%
Motorcycles	0-2.4%	25%

INDIA TARIFFS	EARLIER	NOW
Motorcycles above 1600 cc	50%	40%
Semi knocked-down kits	25%	20%
Completely knocked-down kits	15%	10%

ENGINEERING GOODS

TIGHTENING THE BOLTS

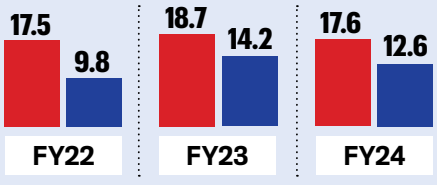
The US remains the top destination for India's engineering goods, which make up 27 per cent of the country's total exports. Of this, 17 to 18 per cent is directed to the US. In the previous fiscal, that country took in engineering goods worth $17.6 billion (Rs 1.5 lakh crore) from India—a hike of 8.3 per cent over the same period last year. The 25 per cent tariff on steel imposed on March 12 threatens to erode the competitiveness of this segment.

THE IMPACT

The industry is of the view that Indian engineering companies could lose $5 billion (Rs 43,350 crore) of exports to the US in a year due to the tariff hikes. India's major competitors—China, Mexico, Canada, Japan, South Korea and the EU—which have also been charged 20-34 per cent (China even higher), face a similar predicament. The US will have no option but to import at 20-26 per cent higher rates, so the consumer will need to pay more. ■

SIZE OF TRADE

India's engineering goods exports to the US outpaced imports in the past three years barring a slight dip recently



India's exports to the US ($ bn)
India's imports from the US ($ bn)

Source: DGCIS, Ministry of Commerce & Industry

TARIFF WAR

Earlier
0-15%
6.8-10.6%

Now
25%
Unchanged

US India

(Average tariff)



HOW TO COME OUT A WINNER

By **PANKAJ CHADHA**
Chairman, Engineering Export Promotion Council of India

Derisk exposure to the US. With the EU president's visit to India in February and the likelihood of an FTA with them in 2025, engineering companies are hoping to de-risk their exposure to the US. Other blocs Indian firms can enter include the WANA (West Asia and North Africa) region

India should have a strategy to have more trade deals. Moreover, we are in active negotiations with the US for a bilateral trade deal. This may lead to a drop in the 26 per cent tariff hike. But the immediate concern is the three-month order book for exporters amounting to $6-7 billion. Who will pick that up?